

Introduction to Claim Financials

Claims Financials refers to the financial transactions, reserves, payments, and recoveries associated with a claim. It plays a critical role in managing the monetary aspects of claims processing, ensuring compliance, accuracy, and efficiency. This document will walk you through the claim side of the financials.

We will start by understanding about the entities participating from top to bottom

Claims Financials involves multiple interconnected entities that ensure proper tracking of policies, coverages, claim exposures, and financial transactions. Below is an overview of the key entities participating in the financial lifecycle of a claim:

1. Account

- **Definition:** Represents a customer or business entity that holds one or more policies with the insurer.
- **Role in Claims Financials:**
 - Serves as the top-level entity linking multiple policies.
 - Helps track claims, billing, and financial obligations at the account level.

2. Policy

- **Definition:** A contract between the insured and the insurer that outlines coverages, limits, and premiums. An account can have multiple policies.
- **Role in Claims Financials:**
 - Provides the foundation for determining financial obligations during a claim.
 - Helps validate eligibility for payments based on policy terms.
 - Defines coverage limits and deductibles, impacting financial transactions.

3. Risk Unit

- **Definition:** Represents an individual insured object, person, or property covered under a policy. A policy can have multiple Risk Units.
- **Examples:**
 - **Auto Insurance:** Each insured vehicle is a risk unit.
 - **Property Insurance:** Each building or insured property is a risk unit.
 - **Workers' Compensation:** Each employee under a policy is a risk unit.
- **Role in Claims Financials:**
 - Determines what is covered and to what extent in financial calculations.
 - Helps insurers segment reserves and payments based on specific risk units.

4. Coverage

- **Definition:** Defines the specific protection offered by a policy for a type of loss. A policy can have multiple coverages.
- **Types of Coverages:**
 - **Liability Coverage** – Covers damages caused by the insured to a third party.
 - **Property Coverage** – Covers damage to the insured's own property.
 - **Medical Coverage** – Covers medical expenses related to an injury claim.
- **Role in Claims Financials:**
 - Determines what expenses are payable under a claim.
 - Affects reserve setting based on coverage limits.
 - Drives eligibility of payments and claim settlements.

5. Exposure

- **Definition:** A financial evaluation unit within a claim that represents a specific coverage under a claim. A coverage can have multiple exposures.
- **Example:**
 - If a claim has both bodily injury (BI) and property damage (PD) components, each is treated as a separate exposure.
- **Role in Claims Financials:**
 - Determines how much is reserved, paid, or recovered for each type of loss.
 - Helps insurers track payments per exposure within a claim.
 - Affects financial reporting and claim segmentation.

6. Claim

- **Definition:** A formal request by the policyholder or third party for compensation due to a covered loss.
- **Role in Claims Financials:**
 - The central entity connecting financials to a specific incident.
 - Tracks total financial impact, including reserves, payments, and recoveries.

7. Financial Transactions

- **Definition:** Individual financial movements within a claim that adjust reserves, process payments, or record recoveries.
 - **Types:**
 - **Reserve Transactions** – Adjusting estimated reserves for a claim exposure.
 - **Payment Transactions** – Issuing payments to claimants, vendors, or attorneys.
 - **Recovery Transactions** – Processing recoveries from subrogation or reinsurance.
 - **Role in Claims Financials:**
 - Ensures accurate tracking of money flow.
 - Supports audit and compliance requirements.
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Entity Relationship Overview

Entity Relationship: Account, Policy, Risk Unit, Coverage, Exposure, Claim, Transaction



1. An Account holds one or more Policies.
2. Each Policy covers specific Risk Units.
3. A Claim is created against a Policy and involves one or more Coverages.
4. Each Coverage gives rise to one or more Exposures in a claim.
5. Financial Transactions occur at the Exposure level, involving reserves, payments, and recoveries.

So, these were the entities that participate. Now, let's see the who can raise a claim

1. Named Insured

- **Definition:** The individual or entity that holds the insurance policy.
- **Role in Claim Submission:**
 - The named insured is the primary policyholder and has the contractual right to file a claim for covered losses.

- They can report first-party claims, where they are seeking compensation under their own policy.

Examples:

- **Auto Insurance:** If a policyholder's car is damaged in an accident, they file a claim with their insurer.
- **Homeowners Insurance:** If a homeowner experiences property damage due to a storm, they report a claim.
- **Business Insurance:** A business owner files a claim for damages caused by fire or theft.

2. Claimant

- **Definition:** Any party other than the named insured who has a legitimate claim under the policy.
- **Role in Claim Submission:**
 - Claimants can be third parties affected by the policyholder's actions, such as in liability claims.
 - Claimants may also include beneficiaries, employees (in workers' compensation claims), or medical providers seeking payment for covered expenses.

Understanding with an example

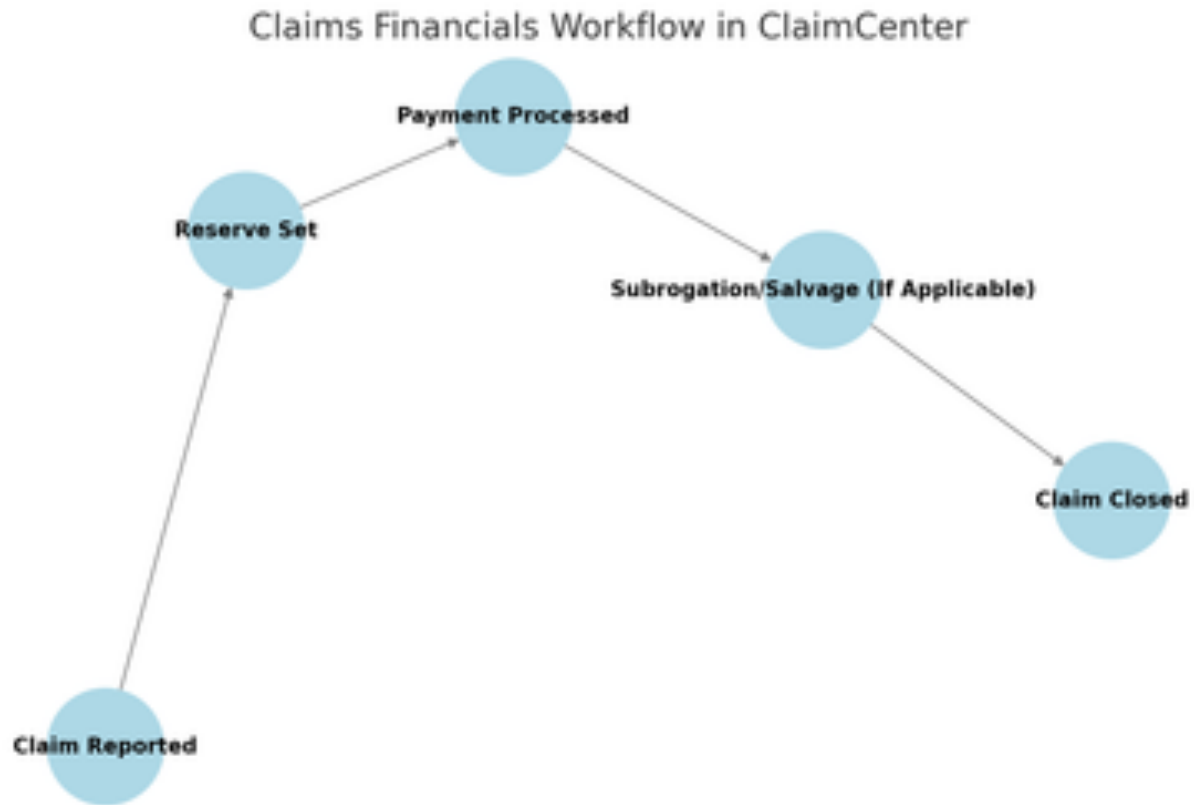
Incident Details:

John Doe, the Named Insured, is driving his insured vehicle and accidentally hits a pedestrian, Jane Smith. However, John Doe is also injured in the accident.

Entities Involved:

- **Named Insured:** John Doe (Policyholder and Driver)
- **Claimant 1 (First-Party):** John Doe (Injured Policyholder)
- **Claimant 2 (Third-Party):** Jane Smith (Injured Pedestrian)
- **Insurer:** XYZ Insurance Company

Let's see the financial transaction in claim



Every financial movement within ClaimCenter is categorized as a transaction. Below are the type of transactions:

- **Reserve Transactions** – Initial and adjusted estimates of expected claim costs.
- **Payment Transactions** – Issuing payments to claimants, vendors, or attorneys.
- **Recovery Transactions** – Tracking money recovered from subrogation, salvage.
- **Reserve Recovery Transactions** - Initial estimates of expected recoveries from subrogation, salvage.

Each transaction has its own type:

- **Indemnity** – Payments made to compensate for the claimant’s covered loss (e.g., settlement, repair costs).
- **Medical Expenses** – Payments for medical treatments related to an injury claim (e.g., hospital bills, rehabilitation).
- **ULAE (Unallocated Loss Adjustment Expenses)** – General claims-handling costs not tied to a specific claim (e.g., adjuster salaries).
- **ALAE (Allocated Loss Adjustment Expenses)** – Claim-specific costs like legal fees, expert witness fees, and investigation expenses.
- **Subrogation** – The insurer recovers claim payments from a third party responsible for the loss.
- **Salvage** -The insurer reclaiming and selling damaged or lost property after paying the policyholder's claim. The recovered amount helps reduce the insurer’s overall loss.

- **Deductible** – The amount the insured must pay out-of-pocket before the insurer covers the remaining claim amount.
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This Claims Financials Documentation provides a comprehensive overview of the entities, financial transactions, claim process. By understanding the relationship between policies, exposures, claims, and financial transactions, insurers can ensure accurate payments, efficient claims handling, and compliance with industry standards. With a structured approach to reserves, payments, recoveries, and approvals, ClaimCenter enables seamless claims management, reducing risks and improving financial oversight.

This document serves as an initial reference for our work in claims data mart model and can be seen as terminology dictionary.

Please Reach to [Pod Dwarka](#) for any queries, we will be happy to answer.